CapVisor Associates, LLC
Quarterly Newsletter

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Insurance Asset Management

Volume 9, Issue 1

Inside This Issue

The Hottest Topic in Investing…

NO… It's not what will happen to bond portfolios as interest rates rise, which stocks or sectors will prosper under the new administration, nor is it the probable impact of deglobalization, if it happens. It is not the investment impact of technological advances such as artificial intelligence, robotics, biotech or other topics like global warming or changing global demographics. Yes, these are all relevant issues, but they are not the real topic of discussion! Arguably, it is more basic: How to invest going forward irrespective of changing factors, whether it be due to political, economic, securities market or natural environmental factors. It's all about the basics: price and cost, or in investment terms, returns and fees. We are talking about the massive passive vs active management debate!

The brief history of the basics

In the beginning…. Active management, through either mutual funds or individual portfolios/separately managed accounts, was the staple

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Economic Review

Fixed Income

2016 was a year of upsets. Leading strategists, pollsters and pundits were as wrong as anyone betting the Chicago Cubs could not overcome a 1-3 deficit to win the World Series. Whether Fed tightening, the BREXIT vote, the Presidential election, interest rates, or the fantastic year-end rally in equities, almost all predictions were off the mark.

Ten year treasury note yields closed the year at 2.45%, less than 0.20% higher than where they began in January 2016, and treasury note prices declined for the second consecutive year. Coupon interest and tighter corporate bond spreads enabled most indexes to generate positive returns for the year. The Bloomberg Aggregate Bond Index returned -2.97% in the fourth quarter and 2.65% for all of 2016. The most popular investment grade bond market indexes are more than 40 years old, and in that time have never generated negative total returns for two consecutive years. Should interest rates continue their rapid climb and produce losses in 2017, bond investors at this time next year will feel as though they have weathered at least two years of negative returns.

As every golf shot pleases someone, the uptick in interest rates which causes losses for current bondholders provides those investors with fresh cash the opportunity to invest at higher rates. The 0.18% increase in ten year treasury yields during the year belies the record low fall to 1.37% early in the third quarter. The dramatic rise in yields from July's lows represents the largest increase in ten year yields since 1994.

The markets reacted strongly to November's election. Stock indexes hit new highs and interest rates rose sharply. Investors have enthusiastically embraced the expectation of economic growth with a president whose party enjoys congressional majorities and espouses infrastructure spending, lower tax rates, less regulation, and repatriation of corporate cash held overseas.

We hope that the markets are right and that greater economic growth is right around the corner, but we caution that several issues temper our enthusiasm.

U.S. restrictions on trade or foreign retaliation to U.S. trade actions could reduce growth. A budget conscious Congress may not support expensive infrastructure projects as enthusiastically as President-elect Trump hopes. Even with common majorities in both houses political gridlock and delays can disrupt the timing and economic benefit of fiscal spending. Tighter monetary policy may counteract fiscal easing efforts. Perhaps, most importantly, higher interest rates or a stronger dollar, both of which increase the cost of capital, may prove counterproductive.
Like an exciting football game, the momentum of the market shifted midway through the fourth quarter. By the end of December the quarter felt like two time

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Mr. Stafford is Managing Director and Director of Fixed Income Investments for ASB Capital Management and is a member of the ASB Fixed Income Council. He has 25 years of experience in the institutional fixed income business and has taught investment analysis in the MBA program at Johns Hopkins University. He is a graduate of Georgetown University and earned an MBA from Loyola University of Maryland.

Managing Director and Director of Equity Investments – Mr. Moore is responsible for active equity portfolio management at ASB Investment Management and is a member of the ASB Equity Council. He has 28 years of portfolio management experience .Mr. Moore has piloted ASB Investment Management's flagship ASB Large Cap Core Equity style for more than 15 years, garnering numerous PSN Top Gun Manager (Top 10 Ranking in peer group performance) designations along the way, including PSN Top Gun Manager of the Decade (Top ½ of Top 1% Ranking) in January, 2015. Mr. Moore earned an undergraduate degree from Greenville College and an MBA from the University of Michigan.

Economic Review

periods, with the mid-quarter November 8th election date marking the inflection point. Perhaps the post-election euphoria reflects pent up animal spirits of investors clamoring for certainty after a long campaign, regardless of the outcome. Or maybe our economy, eight years into an expansion with low inflation, unemployment and interest rates, is poised for a new round of growth, with inflation an unwelcome byproduct. Markets are a discounting mechanism, and we worry that the recent strong move in such a short period of time represents an unrealistically high expectation for growth in 2017.

Outlook

As we contemplate what might happen in 2017, a review of market expectations at this time last year is instructive. At the end of 2015, the Fed had just tightened short term interest rates to 0.25% from zero, and investors expected the Fed to raise interest rates an additional three to five times in 2016. After the Fed action intermediate and long term rates fell rather than rose, reaching the lowest levels ever by early July, shortly after the Brexit referendum.

The Fed delayed rate hikes every quarter, waiting a full year, until December 2016, before raising rates a second time. As 2017 begins, investors expect three rate hikes over the next twelve months. If economic growth slows, expectations of additional Fed rate hikes may disappoint. Although investment grade credit spreads are close to the tightest levels of the past twelve months and near the tightest levels of the post-financial crisis expansion, it is important to remember that spreads have been even tighter for prolonged periods of time. Through most of the 1990's and much of the early 2000's credit spreads on investment grade rated debt traded tighter to treasurys than they do today. We remain committed to assets yielding more than treasurys, particularly fixed income instruments without sensitivity to prepayments. When interest rates rise, fewer homeowners refinance their mortgages, lengthening the average lives of mortgage-backed securities.

Earnings recently climbed out of a five quarter slump when third quarter S&P 500 earnings increased 3.1% from a year earler, rising for the first time since the first quarter of 2015. Unemployment recently touched its lowest level in nine years. Factory orders have increased, and the Institute for Supply Management Index of Manufacturing recently increased for a fourth straight month. The ISM index reached a two year high and new orders increased by the most since 2009 on both stronger overseas and domestic demand.

The bond market does not like the signs of renewed economic strength and fears higher inflation. The current environment reminds us of what former Treasury Secretary William E. Simon once said, "I continue to believe that the American people have a love-hate relationship with inflation. They hate inflation, but love everything that causes it." We ask our clients to be mindful of the interest rate risk inherent in benchmark indexes. We also note that as interest rates rise and equity returns deviate from fixed income results, rebalancing portfolios for strategic objectives remains important. Eventually it is the increase in rates which unwinds equity returns and benefits bondholders clipping higher coupons.

Equity

In a year of reversals, stocks ended up faring quite well. Despite sharp sell-offs at the beginning, middle, and latter part of the year, initial consensus negativity in each case proved to be unfounded, or premature.

Rumblings of a global, China-inspired economic slowdown caused a severe January 2016 retreat, but it was soon shrugged off. At mid-year, it was the U.K. 'Brexit' from the European Union that caused market consternation, which again proved a buying opportunity. Then the S & P 500 declined for nine consecutive sessions leading up to the November elections, culminating in a dramatic further pre-market plunge when it became apparent that Donald Trump was indeed going to be the next President.

Stocks in fact closed higher the day after the election, and the 5% increase which greeted the President-elect over the following month was the largest since Reagan. For the quarter, the S & P 500 returned 3.82%, bringing the total return for the year to 11.96%.

As is frequently the case, those with a composed, longer term perspective were able to profit while refusing to be stampeded by conventional wisdom, particularly that of the short-term, knee-jerk va-

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riety.

The now prevailing "reflation" bull thesis is summarized as follows. Infrastructure spending of $1 trillion, plus tax cuts, plus scaling back regulations will jump start demand in the economy. At the same time, restrictions on trade will lower the supply of goods, increasing pricing power, and a harder line on immigration will shrink the supply of workers, increasing wages. All this points toward inflation.

Stronger growth plus higher prices means that interest rates are likely headed higher. The Federal Reserve will continue to hike. This in turn should provide a lift to the dollar. However, the reasoning goes, any dampening effect from these factors should be more than offset by higher growth, and U.S. equities still retain a prime seat at the table of available investment choices.

Indeed, in November, the Dow, S & P 500, NASDAQ and Russell 2000 each reached all-time highs.

Among stocks, some of the more volatile categories performed the best. Small capitalization stocks gained 16%--without a down day--over three weeks, as investors sought a domestic business mix (less exposure to trade and a higher dollar) and companies with higher tax rates (more benefit from tax cuts). Mining companies rallied on the prospect of greater demand, spurred by infrastructure spending. Biotechnology stocks gained 14% in the week following the election as investors scurried to price in the prospect of a more market-oriented regulatory framework. Financials headed sharply higher.

Meanwhile, steady-growing and income-producing sectors such as utilities, telecommunications, and consumer staples sold off along with bonds on the prospect of higher interest rates, and better growth prospects elsewhere

Of course, this is not a young bull market, nor is it loaded with bargains, with stocks having collectively tripled since 2009. If there are to be meaningful further advances, much will have to go right on the growth front, even as a gallery of potentially troublesome economic and political rogues uneasily bide their time offstage.

Outlook

Though the market initially rallied vigorously, no one knows what effect President Trump and legislators will have on the economy. What policies will be enacted? How quickly? How long will it take them to begin to have an effect? Will the new policies actually work?

Infrastructure stimulus of, say, $100 billion per year could add 0.5% annually to economic growth. However, such projects have notoriously long lead times and might simply replace existing projects. Trade barriers, if enacted, could offset other positive effects on growth. Tax cuts could be saved or used to reward shareholders rather than for new hiring and investment.

Companies could actually cut back on labor if the cost of labor rises. Moreover, if growth really does pick up, it may lead to a longer or more aggressive than expected cycle of rate hikes by the Fed.

The conundrum of rising stock prices and rising yields is this: much of the valuation argument for stocks is based upon low interest rates. Rising rates make stocks more expensive. Further, the second year of a gradual tightening cycle is typically the worst for stocks, with the average return since WWII minus 1.8% over the following 12 months versus a typical 12-month return of 9%.

Notwithstanding optimism, a popular narrative that posits Trump as the new Reagan, complete with outsized, extended gains in the market, is a stretch. At inauguration in 1980, total equity market capitalization was 40% of GDP versus 200% now. In the early '80s, interest rates and inflation were in the double-digits and beginning a multi-decade decline. Now, both are near historic lows, and perhaps rising. The unemployment rate was greater than 10% then, 4.6% now. The market PE ratio was 9x then, 21x now. Reagan ushered in the era of globalization and Trump is looking to walk it back.

Lower corporate taxes could boost economic growth, resulting in more jobs, higher wages, more investment in equipment, less money spent on tax avoidance and more receipts from taxes on shareholders. More companies may relocate production facilities to the U.S.

While a good deal of optimism is priced into the market, it would not be surprising if stocks continue to advance unless or until the reflation narrative is disproven—and gathering conclusive evidence will take time.

We continue to own a healthy mix of stocks that benefit from an improving economy and rising interest rates, while implementing the disciplined process that identified three of the five best performers in the S & P 500 last year.

Natural gas continues to be a growing and clean source of energy and supply has been rationalized.

Auto sales and transaction prices remain near record levels, while an average U.S. vehicle age of 11.5 years points to strong replacement demand.

Select financial stocks still trade at a discount to the market and will benefit from higher interest rates and less regulation.

More devices with increasing memory content bode well for memory chip producers, even as high entry barriers keep industry supply constrained.

Given the uncertainties, skilled active equity managers will again have a chance to outperform while preserving or growing capital in 2017 in a market that increasingly differentiates between stocks and sectors, with periodic bouts of volatility.

The Hottest Topic in Investing…

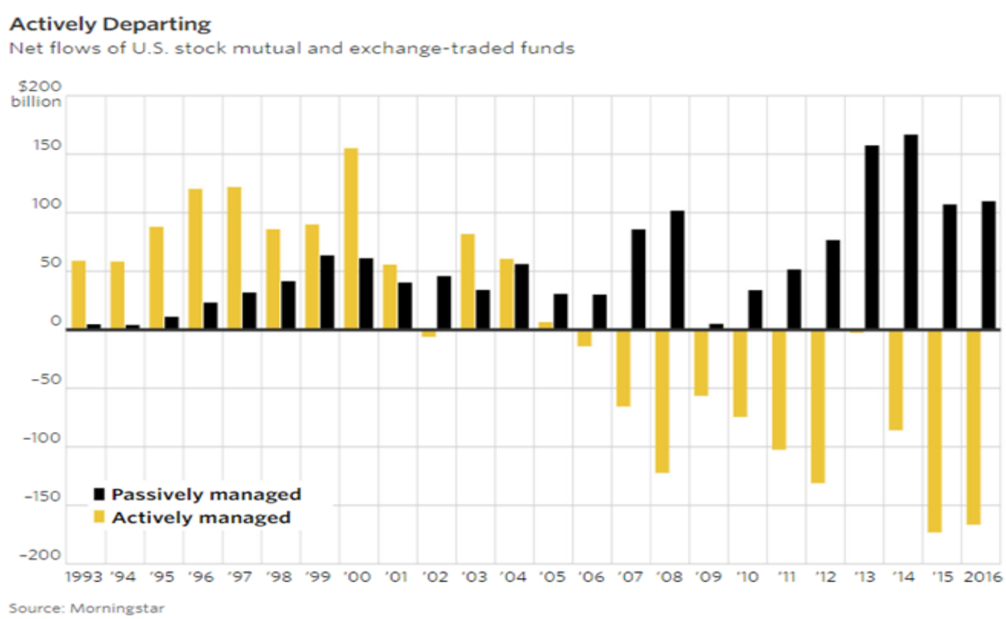
"While a good deal of optimism is priced into the market, it would not be surprising if stocks continue to advance unless or until the reflation narrative is disproven—and gathering conclusive evidence will take time.

"product" for both institutional and retail investors since markets were formed. Briefly explained, the active management process involves a duly registered and trained investment professional, who uses his/her/their firm's research capabilities and expertise, for a fee, to buy and sell securities that are aligned with their client's investment objectives, risk tolerance and selected investment strategy. The overall objective of the manager is to increase the portfolio's value by providing a reasonable return. By convention, the measurement of "reasonable" has been a comparison of the portfolio's return to a "performance benchmark" or index. An index is essentially an unmanaged "paper" portfolio representative of the specific investment strategy or group of securities; e.g. US Large Cap stocks could be indexed to the S&P 500. In this manner, the value of the "active" management component, attributable to the professional portfolio management, can theoretically be assessed.

Fast forward…. many empirical studies indicated that active management fees, often in the 1-3% of market value range, represented a substantial drag on performance, therefore birthing the idea of reducing fees through the concept of "passive management" which was introduced through "funds" back in the 1970s. Importantly, this concept of passive management was further enhanced in the 1990s with the introduction of ETFs (Electronically Traded Funds). Passive investments were and continue to be designed to mimic their corresponding market index/ benchmark and offer significantly lower fees than their actively-managed cousins.

And here we are…. experiencing a tidal wave of investor dollars flowing into passive strategies, primarily ETFs, which can be traded intra-day, like individual stocks, on a major exchange.

This wave was in part caused by the advantage that ETFs have over mutual funds passive or active, which could not be traded intra-day, but rather only at the end of day, after the market's closing, when an NAV (Net Asset Value) for the fund could be calculated from the underlying securities to determine the portfolio's value and hence the price per share upon which it would be bought or sold. Coupled with compelling statistics indicating



Source: S&P Dow Jones Indices, CRSP. For periods ended June 30,2016. Outperformance is based upon equal weighted fund counts. All index returns are total returns. Charts are provided for Illustrative purposes. Past performance is not a guarantee of future results.

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that active managers were not earning their keep, so to speak, ETFs have led to significant market changes as investment dollars' flow from conventional active strategies into passive strategies.

Passive investment purveyors have touted the many statistics available that indicate that active managers have been underperforming, after fees, in comparison to the corresponding passive benchmark indices. While this reality has several possible causes, a major reason is the inability of active managers to exploit market inefficiencies, such as information advantages and pricing arbitrage. The internet and overall advanced state of communications and computational power available to everyone has leveled the playing field in what is really a zero sum game: trading. This has squeezed out the "easy' margins. In these days of nearly instantaneous trading, pricing miss-matches and other price arbitrage opportunities vanish in milliseconds, making opportunities for professional investment managers to find bargains or deals few and far between.

Most institutional investors have read that active managers cannot beat their benchmark, particularly after fees. In fact, the Standard and Poor's Index vs. Active (SPIVA) study clearly indicates this fact in the extract below.

The first caution we should add is that this study, like most, analyzes actively-managed "US equity mutual funds". There is a notable difference between mutual funds and actively-managed separate accounts, or SMAs, in both returns and fees. For example, SMA fees, while visible since insurers/investors write a "check" to pay the manager for services, are generally significantly lower than for funds. Yes, you read that correctly. Fees associated with mutual funds simply come off the top of the returns and so mutual fund returns are reported net-of fees by the published net asset value (NAV). Therefore, fee levels, some of which are exorbitant, often go unnoticed.

The categories tested in the above-referenced SPIVA study and most studies for that matter, namely large, mid and small cap US stock mutual funds, are very relevant to US retail investors as the US stock market carries most of the press and glamour in the investment world. However, equities often occupy a 20% or less allocation of an insurer's investment program. Insurers are primarily bond investors and many may be tempted to generalize news reports of how active managers cannot beat their benchmarks. Often this information is interpreted as being applicable to all active managers for all types of strategies.

A closer examination indicates that this is not true and that the opinions formed from such data can lead insurers down the wrong path.

A Focus on Bonds: an insurer's most important asset class

Let's start off addressing the fairly common misconception that SMAs' fees are higher than similar strategies' mutual fund fees. In Morningstar's 2015 Fee Study entitled "Investors Are Driving Expense Ratios Down", the asset-weighted expense ratio of US Bond Mutual Funds in 2014 was 56 Basis points![1] Even smaller insurance bond portfolios ($1-10 MM) that are actively-managed, seldom have fees above 40 basis points and can be scaled down to single digits for very large accounts. One would expect the opposite: that the customization allowed for in SMAs would increase fees over the "product" orientation of mutual funds where you have no control over the portfolio's management parameters.

For insurers, customization is essential. Bond portfolios should be uniquely tailored to the insurer's investment portfolio risk profile, in part dictated by 1) overall enterprise risk (ERM) levels which incorporates risks on the liability side of the balance sheet and 2) by the more subjective risk tolerance level of the management and/or the board.

Percentage of U.S. Equity Funds Outperformed by Benchmarks

Fund Category	Comparison Index	One Year (%)	Three Years (%)	Five Year (%)	Ten Year (%)
All Domestic Equity Funds	S&P Composite 1500	90.2%	87.41%	94.58%	87.47%
All Large-Cap Funds	S&P 500	84.62%	81.31%	91.91%	85.36%
All Mid-Cap Funds	S&P Mid-Cap 400	87.89%	83.81%	87.87%	91.27%
All Small-Cap Funds	S&P Small-Cap 600	88.77%	94.07%	97.58%	90.75%

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"There are several factors that should be considered when insurers determine how and where passive strategies, or ETFs, can add value to their portfolios. In short, it is NOT all about fees. "

"Asset class, allocation size, unique restrictions, as well as fees and other key factors, such as Asset Liability Management, are key determinants of whether to consider passive or active management. "

The Hottest Topic in Investing…

Surprising Facts… and a new picture of active management

So how does the SPIVA study of "US Equity Mutual Fund" results compare to data regarding actively-managed separate accounts typically used by insurers?

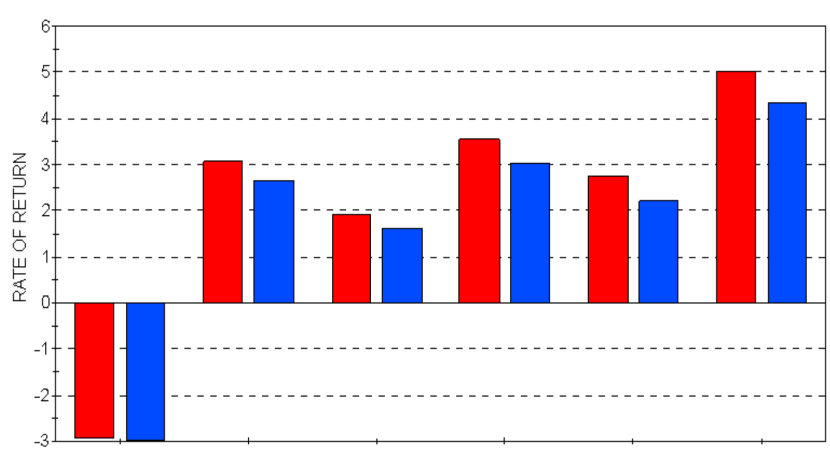
Using one of, if not the largest, available databases of actively-managed separate accounts, PSN Enterprise, we see a very different picture of active manager performance results. PSN's database includes performance and style statistics for 1,357 Investment Firms and 8,982 Products/Strategies. While this does not represent all US active managers, it is most certainly a representative proportion, if not the bulk, of the US manager universe. The expansiveness of the database far exceeds the "consideration set", the group of managers considered when selecting a new or replacement investment manager of most insurers. Of course, only a subset of the universe of managers actually understand the nuances required to manage insurance portfolios, like Asset Liability Management (ALM), for example. In other words, insurers should not consider the data to be representative of constrained insurance portfolio management but rather generally unconstrained performance results. Nonetheless, the results do represent a managers' best ideas and the returns attached thereto. One should reasonably presume that managers with strong unconstrained performance will also be superior managers in a constrained environment, provided they have the ability and willingness to manage to customized restrictions.

Also, it should be noted that returns are reported gross of fees, to provide a fair basis of comparison since fee levels are typically varied within a manager's client base and subject to portfolio size and other factors.

With these caveats, let's look at results for US Fixed Income since bonds disproportionately represent the bulk of insurance company portfolios with typical allocations in the range of 75-90 % of invested assets. In fact, let's look at the active portfolio management results for one of the major investment firms offering both active and passive ETF strategies: Blackrock, which constructs and distributes the popular IShares series of ETFs.

Active managers often review their results with

PERFORMANCE BAR
PERIODS ENDING DECEMBER 31, 2016



	Latest Quarter	1 Year	2 Years	3 Years	5 Years	10 Years
BlackRock CoreActive Bond	-2.93	3.08	1.91	3.56	2.77	5.00
Bloomberg Barclays Aggregate	-2.98	2.65	1.59	3.03	2.23	4.34

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		1 year	3 years	5 years	10 years
Blackrock Active Management	(gross)	3.08	3.56	2.77	5.00
Blackrock Active Management	(net*)	3.0775	3.5575	2.7675	4.9975
Blackrock Passive Management**		2.41	2.91	2.1	4.17
* assumed AUM fee of 25 basis points					
** data source: Morningstar					

clients in the manner above and in this case, Blackrock active management beats the benchmark over all periods. Viewing a chart such as this, insurance clients would typically conclude that their portfolio manager is doing a good job. Of course, much of the drive to passive management is due the noted “drag” on active management returns causes by management fees. Using the data above, let’s examine active management returns, net of fees, versus the return for AGG, the Blackrock ETF that replicates the Bloomberg Barclays Aggregate index.

Surprise! This bond manager, a proponent of ETFs, beats the benchmark as well as their own ETF returns…. After Fees! This is not what readers would infer from most articles promoting passive management. Those articles, which usually analyze mutual funds, whose fees are typically significantly higher than those of SMAs, rarely if ever discuss fixed income or bonds. The point being that what may be true for US large cap stocks, or even mid or small cap stocks, the subject matter of most articles, is not necessarily true for other asset classes. Since most retail investors, and most investment publications in general, are focused on the stock market, reading such material can lead to erroneous conclusions insurers may make for their portfolios.

To further this point, let’s review the active manager universe to look beyond Blackrock. The chart below represents the PSN Enterprise “Core” Bond manager universe. That is, managers offering products that benchmark to the Bloomberg Barclays Capital Aggregate (AGG) index, as in our prior example. This index is the most common benchmark for representing insurance assignments that encompass the broad range of investment-grade-only fixed income asset classes.

The multi-colored bars represent different nominal (Rate of Return (ROR)) and various risk-adjusted performance measures for the entire manager universe, breaking the return data into quartiles. While only BlackRock and the benchmark are plotted, you will note that there are many managers lying in the blue section, whose returns are top quartile and fewer, those in the pink section, that are bottom quartile managers. Once again, we can see that the SMA core bond portfolio of Blackrock (red triangle) outperforms the benchmark, the blue circle. The table immediately below the chart indicates that 64% of the actively-managed managers beat the benchmark of this three-year period on a nominal return basis (ROR). More importantly

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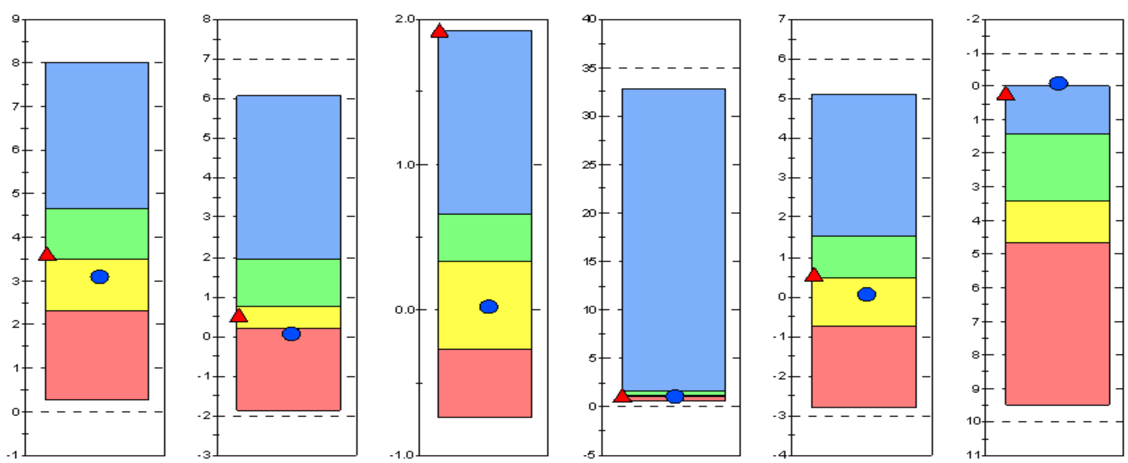
MULTI-STATISTIC QUARTILE RANKING BAR
PSN CF US FIXED INCOME
DECEMBER 31, 2013 TO DECEMBER 31, 2016



	ROR	Alpha	Info Ratio Sample	Sharpe Ratio Samp	Excess Return	Tracking Error Samp
HIGH (0.95)	7.93	6.01	1.90	32.56	5.03	0.06
FIRST QUART	4.59	1.87	0.64	1.30	1.45	1.50
MEDIAN	3.43	0.69	0.31	0.97	0.39	3.49
THIRD QUART	2.25	0.12	-0.29	0.82	-0.80	4.75
LOW (0.05)	0.22	-1.93	-0.76	0.28	-2.86	9.58
MEAN	3.66	1.12	0.25	2.65	0.59	3.38
VALID COUNT	81	81	81	81	81	81

	VALUE	RANK	VALUE	RANK	VALUE	RANK	VALUE	RANK	VALUE	RANK	VALUE	RANK
BlackRock CoreActive Bond	3.56	44	0.47	59	1.90	1	0.95	54	0.52	43	0.28	3
Bloomberg Barclays Aggrega	3.03	64	0.00	82	0.00	64	0.82	75	0.00	64	0.00	1

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and impressively, it should be noted that 82% of the active managers beat the benchmark on a risk-adjusted basis, using the more commonly known Modern Portfolio Theory (MPT) statistic, Alpha, as the evaluation criterion. Clearly using database tools would make it quite easy to identify managers that consistently, if not soundly, beat the benchmark index as well as their passive ETF counterparts.

Conclusions

The case for or against active management is too often misunderstood. While the SPIVA report is among the industry's best, many articles oversimplify the issues or focus exclusively on asset classes that fit their argument or promote their product. There are several factors that should be considered when insurers determine how and where passive strategies, or ETFs, can add value to their portfolios. In short, it is NOT all about fees. Nor is it exclusively about active managers not beating benchmarks. Asset class, allocation size, unique restrictions, as well as fees and other key factors, such as Asset Liability Management, are key determinants of whether to consider passive or active management.

We will continue our discussions on the great active versus passive debate in a series of articles to follow in upcoming issues of the CapVisor Quarterly Insurance Asset Management Newsletter. Specifically, we will be covering the how's, when's and why's of considering ETFs for improved investment program results. We will explore the growing trend for ROBO advisors, also known as ETF Strategists, and possible applications for insurers and other institutional investors. We will also discuss the odd concept of how passive ETF strategies are most productive when "actively" managed, that is selecting and actively rotating among the thousands of ETF options, sector ETFs for example, in an attempt to beat a broad based passive index like the S&P 500 while incurring the low fees of the underlying passive strategies. The increasing complexity of this growing market has not necessarily simplified investing: to the contrary, it has added complexity! Stay tuned….

1. Source: Morningstar's 2015 Fee Study: Investors Are Driving Expense Ratios Down.

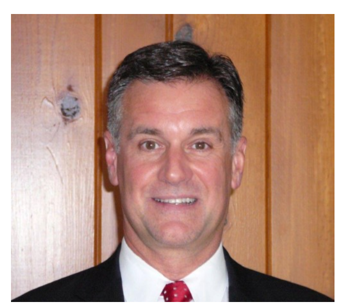
Upcoming Events

CapVisor will be in attendance at the USA Risk Conference May 16-18 in Puerto Rico at the San Juan Ritz Carlton.

CapVisor will be a sponsor of the SRS Symposium May 30-June 2 at the Ritz Carlton in Sarasota, Fl. Carl Terzer hopes to see you there!

The NYIA Annual Conference at the Hyatt Regency in Buffalo, is May 31-June 2.

The late spring conference schedule winds down with Carl Terzer attending the IASA Annual Conference June 4-7 at the Orlando World Center Marriott.



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